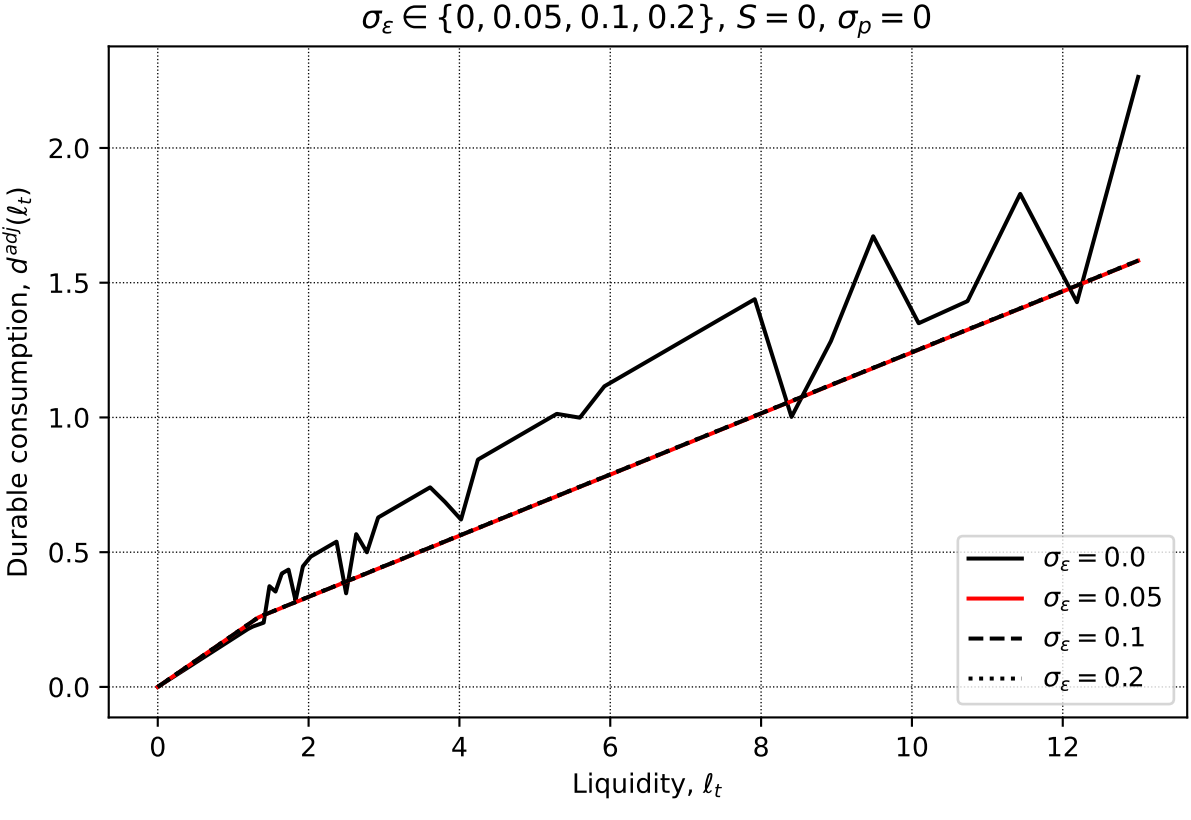
$\sigma_\varepsilon \in \{0, 0.05, 0.1, 0.2\}$, $S = 0$, $\sigma_p = 0$
Durable consumption, $d^{adj}(\ell_t)$
Liquidity, ℓ_t
0.0
0.5
1.0
1.5
2.0
0
2
4
6
8
10
12
$\sigma_\varepsilon = 0.0$
$\sigma_\varepsilon = 0.05$
$\sigma_\varepsilon = 0.1$
$\sigma_\varepsilon = 0.2$